

NEW OWN RESOURCES

FOR A STRONGER EUROPEAN UNION

**GLOBAL
CITIZEN**



Global Redistribution Advocates

New Own Resources for a stronger European Union

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Funding Global Citizens

637

bn EUR borrowed
the European Union.

The EU responded collectively to the COVID-19 crisis and its aftermath through the NextGenerationEU plan. By raising funds jointly, Member States made it possible to secure advantageous borrowing terms. Working together paved the way for a common European response, strengthening the resilience and unity of

Debt service will begin in 2028. The question of how this debt will be repaid will be at the heart of negotiations on the next Multiannual Financial Framework (2028-2034). These two milestones create a critical political window in which the commitment to European cooperation is to be reaffirmed. The European Commission proposed five new own resources in its ORD proposal. The European Parliament proposed five others and has set a minimum threshold of 60 bn per year, making its approval of the MFF conditional on this threshold being met.

2028

Start of servicing

6 Ideas

for New Own Resources

We contribute to the forthcoming discussion by presenting additional new sources of revenue for the EU budget. Drawing on diverse and complementary sources, these instruments are designed to generate substantial

revenues while distributing the fiscal contribution more equitably across Member States. Contrary to most proposals, they generate new revenue for the EU budget rather than merely redirecting existing revenue streams. Taking all legal and administrative requirements into account, they are designed to fit within the 2028–34 MFF timeframe. The six new Own Resources we propose make the wealthiest contribute, tax documented harms, and correct existing imbalances, thereby contributing to a fairer and more effective European fiscal framework, better aligned with EU priorities.

Building on the legacy of NextGenerationEU is not only about fiscal solidarity, it is also about carrying forward a common European project. Strong emphasis was put on the green transition and digital transformation, as well as support for

future generations and social cohesion. To carry forward this legacy in line with the New EU Priorities, we propose to raise revenue through an aviation tax reform, a one-off levy on millionaire wealth, a luxury tax, a digital services tax, a digital advertising tax, and a financial transaction tax. Our estimations show that these measures would raise 103bn EUR per year. Each proposal is summarised below, with its methodology, evidence and detailed analysis presented in the following annexes.

103bn

in new revenues

One

Deal

The new own resources we propose are mostly based on Article 311 TFEU. Their adoption requires unanimity, both at Council level and through ratification by every Member State. We present six ideas to help build consensus. They do not constitute a single package, but aim to help identify the right combination of instruments and prepare a deal acceptable to all Member States. With this in mind, both the rates and scope of the selected instruments could vary. Alternative options are also presented for several of the proposed resources.

We propose to earmark 60% of the wealth tax revenue to a European sovereign fund, at a time when major investments are needed for the ecological transition and for competitiveness. Sized at 3% of EU GDP, the fund would make sure that wealth taxation does not divert resources away from productive investments. While holding a diversified portfolio of equities, the fund would prioritize primary investments in European companies with a strategic or sustainable dimension.

30 bn
for future-preparedness

We also propose to earmark one third of the luxury tax revenue to international public goods. Member States would allocate part of their revenue share to their preferred causes, such as pandemic preparedness, funds rewarding jurisdictions that invest in renewable energy, grid extensions, or reforestation. Member States (or even private donors) would be incentivized to contribute additional funds by a mechanism where doing so would grant them with the right to allocate part of other contributors' contributions.

48%

Updated GNI share

Discussions on the composition of the package must treat the GNI contribution as one component among other revenue proposals in determining the collectively agreed mix. Of the 103bn EUR collected, we propose to allocate 24 bn to NGEU interest repayment, 14 bn to expand the EU budget, 30 bn to finance new funds and 35bn to reduce GNI contributions. The updated GNI contributions would be 100bn EUR, accounting for 48% of the EU budget. The package encourages economic activity with greater social efficiency through measures that correct market inefficiencies and externalities. Furthermore, national expenditures will be reduced, benefiting both from cuts in GNI contribution and expansion of the EU budget, while costs will be primarily borne by the wealthiest. Even taking into account the foregone revenue from existing domestic taxes, this makes every country gain 0.5 to 0.7% of GNI in fiscal space. Table 2 documents these gains.

A Tax on Luxury

20%

Extra rate on luxury goods

Economic analysis shows that luxury goods should be taxed at 42%, that is, a rate 20 percentage points above the current VAT rate. This VAT would apply uniformly to yachts, private jets, luxury cars, artwork, jewelry, luxury watches, bags and apparel, cruises, luxury hotels, fine wines and spirits, fine dining. Simultaneously, non-EU visitors will lose

the VAT refund for their purchases of luxury goods in the EU. This tax would require unanimity at the EU Council, but is straightforward to implement since the administration already collects the VAT and categorizes goods.

The tax would raise €40 bn per year, and could even be doubled or tripled since the 20% extra tax is computed using very conservative assumptions. The most affected sectors would be the German car industry, the French and Italian luxury sector, and the

Mediterranean luxury tourism. Eastern Europe, Northern Europe, Germany and the Netherlands would contribute less than their GNI share to this extra tax, while a substantial share of the tax burden would fall on non-EU visitors. Countries that contribute a larger-than-average GNI share would benefit from increased revenue of domestic VAT thanks to the coordinated abolition of the VAT refund for non-EU visitors. Luxury goods are partly purchased to signal one's wealth, a motive that would play out with lower resource use if they are priced more. Plus, they confer status, which entails a negative externality onto others. While inequality should in principle be addressed via income taxes, tax competition among EU countries results in insufficient top tax rates. An EU-level tax on luxury goods is a second-best substitute for harder-to-harmonise EU income taxes. Taxing luxury also has the desirable property that it does not reduce philanthropy or investment.

40 bn

Per year

A Moderate Wealth Tax

0.5%

above €100 million

A moderate tax on the wealth of millionaires would address rising inequality with negligible effects on aggregate demand. In the central scenario, the proposed rate goes from 0.1% for wealth above 1 million euros to 0.5% for wealth in excess of 100 million euros. We

also present another scenario where the tax starts at 100 million euros. We design it as a *one-off* levy, payable over thirty years, thus avoiding pitfalls that have historically undermined recurrent wealth taxes. Indeed, the tax would be owed based on wealth assessed on 1 January 2028, so it would not deter future investment.

The tax schedule of our central scenario would raise €26 bn per year. While a wealth tax would require unanimity at the EU Council, it is supported by over 80% of Europeans.

26 bn
Per year

The tax adapts the innovative design of the Californian proposal. It can be paid in kind to prevent any liquidity issue, and a system of deferral accounts ensures that it is recovered even in case of expatriation or death. Finally, the low rates make it moderate and constitutional in every Member State.

Aviation Tax Reforms

2.5 bn

Tax on seat vacancy

In Europe, 20% of flight seats depart empty. We propose a tax on vacant seats at a rate of 82.6%, combined with an additive VAT on airline tickets of 3.7% for intra-EU flights. By taxing the spoilage value of vacant seats, this design aims to reduce

seat vacancy to its optimal level while preserving passenger flows, thereby benefiting every country, even touristic ones. Analysis shows that it leads airlines to reduce flight frequency by 18%. The tax not only raises €2.5 bn in additional revenue, it also makes the sector more efficient, generates €5.4 bn in economic surplus for the EU, removes 8 MtCO₂ of emissions, and reduces the EU oil bill. By targeting only intra-EU flights, the design aims to overcome the obstacles that led to the failure of the Commission's 2012 proposal due to foreign retaliation.

The aviation sector benefits from VAT exemptions that have no economic justification. Increasing the VAT rate could, however, align aviation's price-cost wedge with that of the rest of the economy, correcting a cross-sector misallocation.

The optimal VAT rate is estimated at 28%. We therefore propose increasing VAT by 20 percentage points, from the current 8% domestic, generating €8 billion per year for the EU budget. These structural corrections represent an efficiency gain for the EU economy as a whole.

28%
optimal VAT rate

8 bn

from augmented VAT

Taking into account environmental externalities and global welfare, the gain could be greater and these aviation reforms could be extended into a more comprehensive package, that would tax business-class tickets and fully price aviation's climate externalities, including the non-CO₂ effects of contrails. This would also be a first step towards extending the measures to extra-EU flights, ideally through an internationally agreed framework, and partly financing global public goods.

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Taxing Digital Services

6 bn

From Digital Services Tax

Big digital companies escape Corporate Income Taxes. International cooperation has so far failed to produce a collective response. Taxing 3% of revenues from the digital sector serves as a temporary measure to capture the untaxed part of profits. Repealed once an international agreement is reached, the instrument signals the EU's position and pushes international partners to return to the negotiating table. France, Italy and Spain have already implemented such a tax, and more Member States plan to legislate on the issue, making the instrument technically prepared and politically ripe.

Online advertising exploits users' cognitive biases in the pursuit of effectiveness, causing documented harms, particularly among young people, from mental health problems to misinformation and radicalisation. Economists, including Nobel laureates Daron Acemoglu and Simon Johnson, propose implementing a 50% excise tax to force a paradigm shift. An initial rate of 15% sends a strong signal, preparing industry players for a gradual increase.

15%

On digital ads

A Financial Transactions Tax (FTT)

0.5%

Rate on equity transfers

The transfer of ownership of shares issued by companies incorporated in the EU would be taxed at 0.5%. To start with an easily implementable instrument, the scope covers only net transactions and exempts bonds, foreign exchange and derivatives. The inclusion of intraday and

derivative trading, which triggered objections from Member States in a previous attempt, is left for later extensions. This deliberately narrow scope makes our proposal a revenue-generating tax rather than an externality-corrective instrument. The tax and its rate mimic the UK stamp duty, which has collected steady revenue for over 300 years. It would collect €8 bn per year at the EU level.

France, Italy, Spain, Belgium and Ireland already have similar instruments in place. The burden of the tax would fall on stock owners, predominantly wealthy and located worldwide, making it highly popular. France and the Netherlands stand out as main collectors of the FTT due to hosting companies with the highest market capitalisation. The tax would reduce trading volume only moderately (by 10–20%). Empirical evidence shows no significant effects on market liquidity or volatility, nor on the cost of capital or the competitiveness of financial centres. A study of the French tax even finds a positive effect on corporate investment, by inducing a shift from short-term to longer-term stock ownership.

8 bn

Per year

Table 1: Member State's contribution from the proposed new own resources in EUR millions.

Country	A 3% DST	15% Ad tax	0.5% FTT	Wealth tax	Aviation tax reform	Luxury VAT
Austria	143	330	26	920	254	1,390
Belgium	201	184	61	722	257	1,376
Bulgaria	38	18	.2	40	63	225
Croatia	46	26	.3	36	89	323
Cyprus	16	17	.8	46	68	211
Czechia	178	263	3.8	348	103	646
Denmark	108	258	114	533	264	590
Estonia	23	21	.1	29	21	70
Finland	97	133	81	152	168	407
France	1,084	1,691	3,100	6,670	1,255	8,706
Germany	978	2,700	1,595	8,344	1,409	8,102
Greece	91	54	23	118	593	885
Hungary	140	113	5.9	208	86	351
Ireland	97	160	241	331	219	534
Italy	467	891	544	2,618	1,659	7,934
Latvia	27	20	0	20	42	70
Lithuania	41	24	.1	31	33	112
Luxembourg	10	32	0	208	49	253
Malta	7	10	0	9	63	126
Netherlands	333	652	1,961	913	462	1,545
Poland	497	427	63	560	278	1,123
Portugal	137	84	25	330	455	899
Romania	135	30	1.9	121	145	449
Slovakia	76	37	0	19	12	183
Slovenia	33	14	.4	75	7	154
Spain	687	830	241	2,151	2,177	4,339
Sweden	190	601	245	712	271	997
European Union	5,880	9,616	8,335	26,264	10,500	42,000

Table 2: Decomposition of the own-resources deal by member state (in % of GNI).

Country	New revenues			Foregone dom. rev.	State budg. gain	Overall gain
	Total	New funds	EU budget			
Austria	.751	.249	.502	.025	.379	.68
Belgium	.552	.176	.377	.012	.392	.693
Bulgaria	.733	.189	.544		.404	.705
Croatia	.889	.221	.668		.404	.705
Cyprus	1.63	.445	1.18		.404	.705
Czechia	.677	.186	.491		.404	.705
Denmark	.536	.148	.387		.404	.705
Estonia	.532	.132	.4		.404	.705
Finland	.407	.089	.318		.404	.705
France	.874	.268	.606	.163	.242	.542
Germany	.62	.207	.414		.404	.705
Greece	.975	.202	.773	.013	.392	.692
Hungary	.607	.162	.445		.404	.705
Ireland	.489	.116	.373	.075	.33	.63
Italy	.778	.232	.546	.056	.348	.649
Latvia	.542	.107	.435		.404	.705
Lithuania	.446	.104	.343		.404	.705
Luxembourg	1.09	.414	.679		.404	.705
Malta	1.57	.347	1.22		.404	.705
Netherlands	.701	.127	.574		.404	.705
Poland	.538	.13	.408		.404	.705
Portugal	.911	.235	.676		.404	.705
Romania	.41	.103	.306		.404	.705
Slovakia	.335	.074	.261		.404	.705
Slovenia	.552	.187	.364		.404	.705
Spain	.859	.226	.634	.076	.328	.628
Sweden	.546	.137	.408		.404	.705
European Union	.705	.204	.5	.045	.359	.66
in EUR bn	102,595	29,758	72,837	6,550	52,291	96,049

Column definitions:

(1) New revenues generated by our proposals.

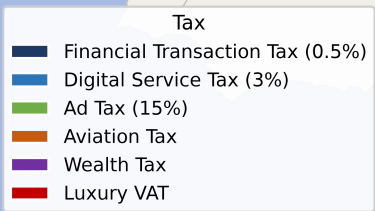
(2) New revenues funding the EU budget.

(3) Revenues funding new EU funds, financed with 60% of the wealth tax and a third of luxury tax revenues.

(4) Foregone revenues from existing domestic taxes (DSTs and FTTs).

(5) State budget gain from the deal: reduced GNI contribution relative to the status quo, net of foregone revenues from national DSTs and FTTs. GNI contributions are 0.71% of GNI in our proposal, down from 1.09% in the status quo (incl. an extra 0.16% compared to current contributions to repay the NGEU debt).

(6) State + EU budget from the deal: State budget gain in previous column, plus increased funding of EU budget and new funds allocated to each Member State according to their GNI share. Just as in (5), lower gains for a Member State stem from foregone revenues from national DSTs or FTTs. Welfare costs of the new taxes vary across countries but are mostly borne by the wealthiest.



Bar height: tax revenue by country, normalised by GNI

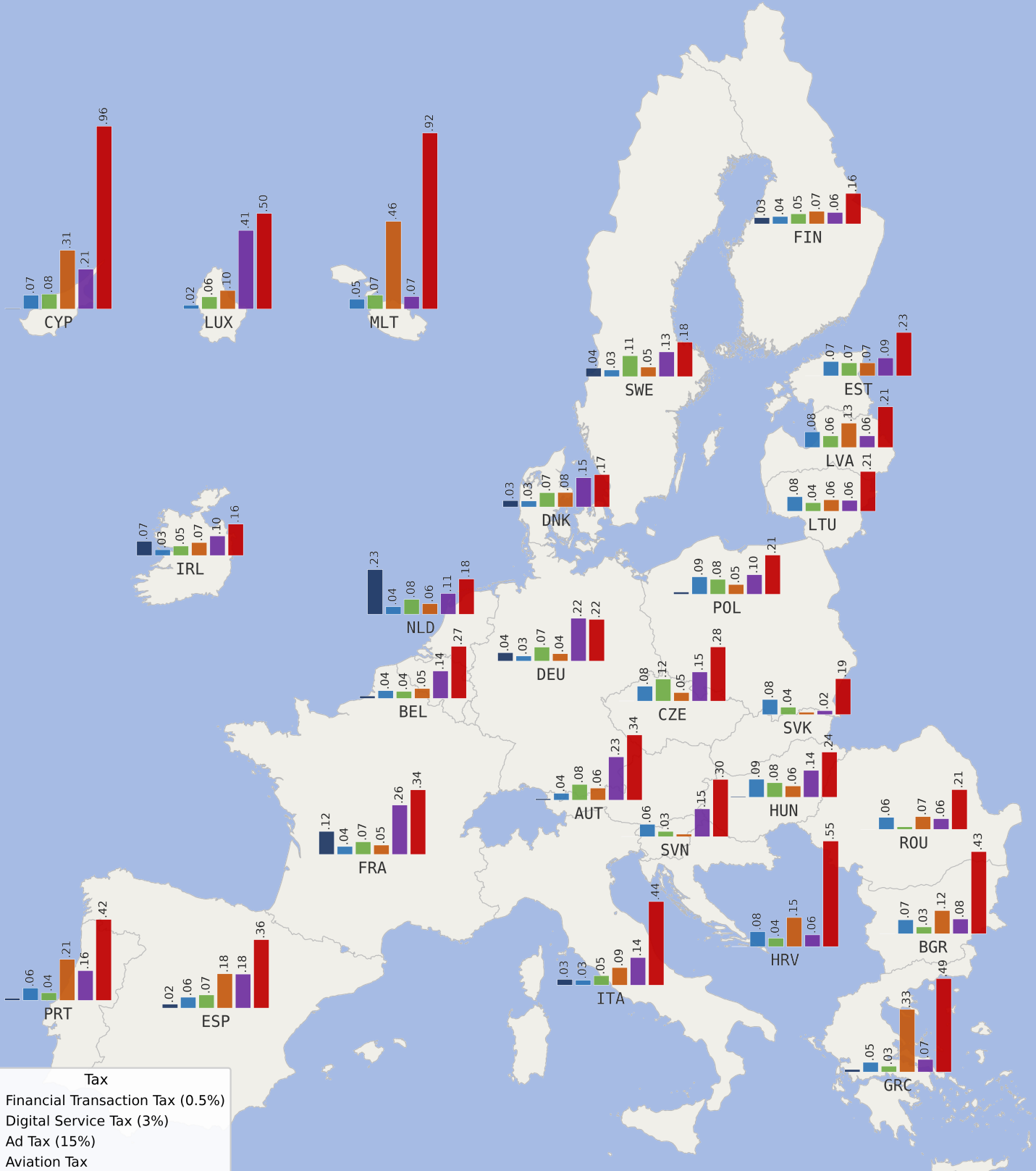


Table 3: Tax rates minimising the heterogeneity of costs across Member States.

	Report	Uniform luxury VAT				Luxury taxed by category			
	rates	Sq. dev.	Minimax	Frugal	Max. gain	Sq. dev.	Minimax	Frugal	Max. gain
<i>Tax rates (%)</i>									
DST	3	12	7.7	12	12	12	6.3	12	12
Ad tax	15	50	60	0	60	36	60	18	60
FTT	.5	.59	.63	.49	1.7	.74	.56	.38	1.7
Wealth tax	.5	.51	.66	.99	0	0	.49	.27	0
Aviation tax	20	4.9	6.9	36	24	2.7	3.1	0	24
Luxury VAT	20	3.7	0	0	0				
automotive	20					40	5.4	35	0
personal goods	20					0	0	5.9	0
hospitality	20					0	0	0	0
wines & spirits	20					0	0	0	0
gourmet & dining	20					65	0	80	0
design & furniture	20					80	80	80	0
yachts	20					15	33	29	0
RMSD from mean (% GNI)	.31	.152	.183	.219	.212	.12	.169	.141	.212
Max. cost (% GNI)	1.628	1.02	.884	1.266	1.323	.912	.852	1.039	1.323
Highest-cost country	CY	CY	LU	CY	NL	CZ	LU	LU	NL
Highest-cost frugal country	AT (.75)	NL (.85)	NL (.87)	AT (.7)	NL (1.32)	NL (.9)	NL (.85)	AT (.7)	NL (1.32)
New funds (EUR bn)	29.8	18.8	20.9	31.1	0	14	20.5	24.1	0

Note: Total new revenues are held at EUR 102.6 bn, i.e. .705% of EU GNI, and each rate is capped at 4 times the report's rate. The criteria are: minimising the sum over the 27 Member States of squared deviations of costs from the EU average (Sq. dev.), minimising the maximum cost (Minimax), minimising squared deviations under the constraint that the frugal countries (AT, DE, IE, NL, SE) pay less than the EU average (Frugal), and maximising the minimum State budget gain (Max. gain).

How evenly can the burden be shared? Our package raises EUR 103 bn (.71% of EU GNI), but its cost ranges from .34% of GNI in Slovakia to 1.63% in Cyprus (column (1) of Table 2). This dispersion pushes countries that collect more revenue than the EU average to call for a harmonised, domestic implementation of these new taxes, with each Member State retaining the revenues it collects, rather than establishing them as EU own resources. How much of this dispersion can be avoided by changing the relative weights of these six taxes? Holding the total revenue constant, we let each tax rate vary between zero and four times the rate proposed in the baseline scenario and look for the combination that spreads the burden most evenly, assuming that each tax's revenue is proportional to its rate. We use two criteria: minimising the highest national cost (*Minimax*), and minimising the sum, over the 27 Member States, of squared deviations of cost from the EU average (*Sq. dev.*). We also compute two variants of the latter criterion: one requires the five frugal countries (Austria, Germany, Ireland, the Netherlands and Sweden) to bear a cost below the EU average (*Frugal*); the other maximises the smallest State budget gain (*Max. gain*), that accounts for foregone revenue of existing domestic taxes (column (5) of Table 2). Table 3 reports the results, first with a single luxury VAT rate, then with the luxury tax split into seven product taxes with their own rates. in proportion to its category-specific base (see the luxury appendix).

Recomposing the package cuts the dispersion of costs roughly in half: the highest national cost falls from 1.63% to .88% of GNI, or the root mean squared deviation (RMSD) from the EU average from .31 to .15 points. Both criteria pull the same lever: the luxury VAT and the aviation tax concentrate their cost on small and tourism-intensive economies, so both cut them to zero or nearly so and shift the burden onto the advertising tax, the digital services tax and the wealth tax, whose revenues are the closest to proportional to GNI. Requiring the frugal countries to pay less than the average costs about half of this gain: it rules out the advertising tax, whose base is concentrated in Germany, Sweden and the Netherlands, and raises the aviation tax to 36%, leaving Cyprus at a cost of 1.27% of GNI. Maximising the smallest State budget gain lifts France, the least favoured Member State, from a State gain of .24% to .45% of GNI, but it requires giving up the wealth and luxury taxes, which finance the new funds, and it makes costs less even again. Taxing luxury categories at separate rates recovers much of the loss in the case favoring frugal countries: taxing cars, gourmet food and design while exempting hospitality and fine wines, whose bases are the most unevenly spread, brings the root mean squared deviation down to .14 points in the frugal variant, against .22 when the luxury tax carries a single rate.

Among these variants, the minimax criterion with the luxury tax split by category (in bold in Table 3) may be the best compromise. It caps the cost of the package at .85% of GNI, the lowest ceiling of all the combinations considered, and the French budget gain is still lifted from .24 to .31% of GNI (compared to .41% for the median country in the baseline). Its price is that four of the five frugal countries contribute somewhat more than under our proposed rates, the Netherlands reaching the .85% ceiling: sheltering them requires the frugal variant, which raises the ceiling to

1.04% and makes costs less even.

Setting an instrument aside in the EU package does not mean giving up on it: the higher rates that this exercise discards, in particular on aviation and luxury, can still be implemented through an EU-wide harmonisation policy, with the revenue retained by the Member States that collect it.